BEFORE THE
STATE OF NEW YORK
PUBLIC SERVICE COMMISSION

Proceeding on Motion of the Commission as to the Rates, Charges, Rules and Regulations of Consolidated Edison Company of New York, Inc. for Electric and Gas Service.

Cases 25-E-0072, 25-G-0073

April 10, 2025

Update Testimony of:

Shared Services Panel

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CONSOLIDATED EDISON COMPANY OF NEW YORK, INC.
UPDATE TESTIMONY OF SHARED SERVICES PANEL

TABLE OF CONTENTS

I. Introduction 2

II. Update 3

A. Janitorial Services 3

B. Facilities Critical Infrastructure 6

C. Facilities Service Center Renovation and Storeroom Modernization 8

D. Transportation 10

E. Stores Operations 11

F. Other Corrections and Adjustments 13

CONSOLIDATED EDISON COMPANY OF NEW YORK, INC.
UPDATE TESTIMONY OF SHARED SERVICES PANEL

I. INTRODUCTION

Q. Please state the names of the Shared Services Panel ("SSP" or "Panel") members.

A. La-Asia Hundley, Natalia Saldarriaga, Nicole Leon, Joan Jacobs, Venetia Lannon, and Fortunato Gulino.

Q. Has the Panel previously submitted testimony in this proceeding on behalf of Consolidated Edison Company of New York, Inc. ("Con Edison" or the "Company")?

A. Yes. We submitted direct testimony on January 31, 2025 as part of the Company's January 2025 filing.

Q. What is the purpose of the Panel's update testimony?

A. Our update testimony addresses:

- Incremental operations and maintenance ("O&M") funding needed for janitorial services;
- A reduction in incremental O&M funding associated with the Facilities Critical Infrastructure program;
- A reduction in incremental O&M funding associated with the Facilities Service Center Renovation and Storeroom Modernization program;
- A reduction in incremental O&M funding associated with Transportation;

- A reduction in incremental O&M funding associated with Stores Operations; and
- Other corrections and adjustments to the Panel's direct testimony and exhibits.

Q. Are these changes reflected in the Company's updated revenue requirement?

A. Yes.

II. UPDATE

A. Janitorial Services

Q. Please describe how Con Edison uses janitorial services.

A. Con Edison uses janitorial service contractors to perform a range of essential cleaning tasks at 131 Company locations, including plants, substations, and other buildings and facilities. To provide a clean and hygienic work environment at these locations, the Company's janitorial contractors regularly perform trash removal, sweeping, vacuuming, wet mopping, toilet cleaning, disinfecting, and dusting, among other tasks. The work performed by these janitorial service contractors is crucial in maintaining a clean, safe, and healthy environment for employees and visitors at Company locations.

Q. Is the Company requesting incremental O&M funding to support janitorial services?

A. Yes. The Company is requesting incremental O&M funding for new janitorial service contracts, which the Company recently re-bid through a competitive procurement process, resulting in cost increases compared to the prior contracts that expired at the end of March 2025.

Q. What is driving these increases?

A. The main drivers include wage inflation and service cost increases since 2019, when the prior contracts were established. The cost increases are also driven by unionization of janitorial contractor employees at some locations.

Q. Please describe the Company's procurement process for these contracts.

A. The Company solicited and evaluated bids from multiple janitorial service contractors as part of a competitive procurement process, which was finalized in March 2025.

Q. Why was this funding request not included in the Company's January 2025 filing?

A. This competitive re-bid process was ongoing, and the Company had not yet determined the impact of these contract increases, at the time of its January 2025 filing.

Q. What is the incremental cost of the new janitorial services contracts during the three rate years?

A. $8.24 million in the Rate Year ("RY1") (*i.e.*, the twelve-months ending December 31, 2026).

Q. Is the Panel submitting any documents that detail this O&M program change?

A. Yes. We are submitting a white paper discussing these incremental O&M costs. This white paper is titled "Janitorial Services" and is provided in Exhibit SSP-5.

Q. Is the Panel submitting any other updated exhibits reflecting this O&M program change?

A. Yes. We are submitting an updated O&M summary provided in Exhibit SSP-2-UpD.

Q. Were these exhibits prepared under the Panel's supervision and direction?

A. Yes.

Q. Are there any other developments that are expected to impact the cost of janitorial services?

A. Yes, janitorial costs may be impacted by further unionization.

Q. Please explain.

A. During the recent procurement process, the Company was informed by two of the outgoing janitorial vendors that employees at certain locations had unionized prior to the execution of the new agreements. Under the New York City Displaced Building Service Workers Protection Act (N.Y.C. Admin. Code § 22-505), the Company may be required to retain these now unionized vendor employees for a period of time at their higher union-negotiated salaries. Moreover, there is a potential for further unionization of janitorial vendor employees, which may result in additional cost increases during the rate years. Such increases may result in the Company revising its revenue requirement later in these proceedings, consistent with Commission rules.

B. Facilities Critical Infrastructure

Q. Has the Company made changes to its proposed Facilities Critical Infrastructure Program?

A. Yes. The Company has decreased the extent of maintenance associated with capital ("MAC") that was included under this program. As a result, the Company has reduced its

incremental O&M funding request for this program by $1.1 million in RY1.

Q. Why did the Company make this change?

A. The Company made this adjustment based on a reevaluation of work forecasts and projected resource needs under this program.

Q. Does this change affect any of the Panel's proposed full time equivalent ("FTE") requests?

A. No.

Q. Following this change, what level of incremental O&M funding is needed to support this program during the three rate years?

A. The Company is proposing incremental O&M spending of $1.4 million in RY1, $0 in RY2, and $0 in RY3.

Q. Is the Panel submitting any documents that detail this O&M program change?

A. Yes. We are submitting an updated white paper reflecting this O&M program change. This white paper is titled "Facilities Critical Infrastructure Short Term Priority/Programs (Update)" and is provided in Exhibit SSP-4-UpD.

Q. Is the Panel submitting any other updated exhibits reflecting this O&M program change?

A. Yes. We are submitting an updated O&M summary provided in Exhibit SSP-2-UpD.

Q. Were these exhibits prepared under the Panel's supervision and direction?

A. Yes.

C. Facilities Service Center Renovation and Storeroom Modernization

Q. Has the Company made changes to its proposed Facilities Service Center Renovation and Storeroom Modernization Program?

A. Yes. The Company has reevaluated its work forecasts and projected resource needs under this program. As a result, the Company has reduced its incremental O&M funding request for this program by $1.1 million in RY1, and $0.4 million in RY2.

Q. Does this change affect any of the Panel's proposed FTE requests?

A. Yes. As a result of this change, the Company is removing its request for twelve (12) incremental FTEs under this program.

Q. Following this change, what level of incremental O&M funding is needed to support this program during the three rate years?

A. The Company is no longer requesting incremental O&M funding to support this program.

Q. Is the Panel submitting any documents that detail this O&M program change?

A. Yes. We are submitting an updated white paper reflecting this O&M program change. This white paper is titled "Facilities Service Center Renovation and Store Room Modernization (Update)" and is provided in Exhibit SSP-4-UpD.

Q. Is the Panel submitting any other updated exhibits reflecting this O&M program change?

A. Yes. We are submitting an updated O&M summary provided in Exhibit SSP-2-UpD, and an updated FTE summary provided in Exhibit SSP-3-UpD.

Q. Were these exhibits prepared under the Panel's supervision and direction?

A. Yes.

D. Transportation

Q. Has the Company made changes to its O&M funding request for Transportation?

A. Yes. The Company has decreased its projected Transportation Garage Maintenance and Fuel costs associated with the XM-2 program. As a result, the Company has reduced its incremental O&M funding request for Transportation by $4.051 million in RY1, $703,000 in RY2, and $112,000 in RY3.

Q. Why did the Company make this change?

A. The Company made this adjustment based on a reevaluation of work forecasts and projected resource needs for Transportation.

Q. Does this change affect any of the Panel's proposed FTE requests?

A. No.

Q. Following these changes, what level of incremental O&M funding is needed to support Transportation during the three rate years?

A. The Company is proposing incremental O&M spending of $134,000 in RY1, and $55,000 in RY2.

Q. Is the Panel submitting any documents that detail this O&M program change?

A. Yes. We are submitting an updated white paper reflecting this O&M program change. This white paper is titled "XM2 – Vehicle Replacement Program (Update)" and is provided in Exhibit SSP-4-UpD.

Q. Is the Panel submitting any other updated exhibits reflecting this O&M program change?

A. Yes. We are submitting an updated O&M summary provided in Exhibit SSP-2-UpD.

Q. Were these exhibits prepared under the Panel's supervision and direction?

A. Yes.

E. Stores Operations

Q. Has the Company made changes to its O&M funding request for Stores Operations?

A. Yes. The Company has reevaluated its work forecasts and projected resource needs for Stores Operations. As a result, the Company has reduced its incremental O&M funding request for Stores Operations by $1.834 million in RY1, and $200,000 in RY2.

Q. Does this change affect any of the Panel's proposed FTE requests?

A. No.

Q. Following this change, what level of incremental O&M funding is needed to support this program during the three rate years?

A. The Company is no longer requesting incremental O&M funding to support Stores Operations.

Q. Is the Panel submitting any documents that detail this O&M program change?

A. Yes. We are submitting an updated white paper reflecting this O&M program change. This white paper is titled "Stores Operations O&M Program Change (Update)" and is provided in Exhibit SSP-4-UpD.

Q. Is the Panel submitting any other updated exhibits reflecting this O&M program change?

A. Yes. We are submitting an updated O&M summary provided in Exhibit SSP-2-UpD.

Q. Were these exhibits prepared under the Panel's supervision and direction?

A. Yes.

F. Other Corrections and Adjustments

Q. Is the Panel submitting other corrections or adjustments?

A. Yes.

Q. Please explain.

A. We are submitting updated exhibits including white papers that address the following corrections:

- Line 22 on page 27 through line 3 on page 28 of the Panel's direct testimony inadvertently included incorrect vehicle numbers that require correction. These numbers are corrected as follows, with the incorrect numbers shown in strikethrough:

  "Q. Is the Company planning to purchase vehicles and mobile equipment in the XM-2 category during the upcoming rate years?

  A. Yes. The Company plans to purchase a significant number of replacement vehicles and fleet additions in the XM-2 category during the upcoming rate years. In total, the Company plans to purchase 2,925 ~~2,919~~ vehicles, consisting of 2,502 replacement vehicles (including mobile equipment) and 423 ~~417~~ fleet additions."

- Line 14 through line 19 on page 28 of the Panel's direct testimony inadvertently included some incorrect vehicle numbers that require correction. These numbers are corrected as follows, with the incorrect numbers shown in strikethrough:

  "Q. Please explain why the Company plans to purchase 2,502 ~~2,005~~ replacement vehicles (including mobile equipment) during the three rate years.

  A. The Company follows an established methodology, which has identified 2,502 ~~2,005~~ vehicles (including mobile equipment) for replacement during the three rate years."

- The XM-3 program white paper, provided on pages 4-7 of Exhibit SSP-4, inadvertently included some incorrect capital dollar amounts that require correction. These capital dollar amounts, included on page 5, are corrected as follows, with the incorrect numbers shown in strikethrough:

  "The projected spend for 2026 is approximately $2.44 ~~1.199~~ million, increasing by 3.5% each year thereafter, with the total cost across the 5- year span amounting to $7.5 ~~6.2~~ million."

This updated white paper is titled "XM 3 – Stores Equipment (Update)" and is provided in Exhibit SSP-4-UpD.

- The Panel's O&M Summary Exhibit SSP-2 included a missing summation formula at the bottom of the column titled "Total." This missing formula has been added to an updated O&M Summary Exhibit provided as SSP-2-UpD.
- The Panel's O&M Summary Exhibit SSP-2 and FTE Summary Exhibit SSP-3 were corrected to reflect the following allocation of additional FTEs requested by the Company in its initial filing to support Transportation under the XM-2 program: twelve (12) FTEs to support the Vehicle Replacement Program and Automotive Engineering; and ten (10) FTEs to support Transportation Garage Maintenance and Fuel. Beyond this correction, the overall number of FTEs needed to support Transportation has not changed and remains at twenty-two (22). This correction is reflected in Exhibit SSP-2-UpD and Exhibit SSP-3-UpD.
- The Learning & Inclusion FTEs white paper, provided on pages 30-33 of Exhibit SSP-4, has been updated to reflect an adjustment in projected O&M spending during the rate years. Based on a reevaluation of work forecasts and projected resource needs, the Company shifted $500,000 in

incremental O&M spending from RY1 to RY2, with no other adjustment made. This updated white paper is titled "Learning & Inclusion FTEs (Update)" and is provided in Exhibit SSP-4-UpD. This adjustment is also reflected in the Panel's updated O&M Summary Exhibit SSP-2-UpD.

- The Facilities and Field Services Outfall B PCB Sweep program white paper, provided on pages 77-79 of Exhibit SSP-4, has been updated to remove $933,000 in O&M spending in the historic Test Year. Those expenses do not apply to this new work and were therefore incorrectly shown. This updated white paper is titled "Facilities Operation and Maintenance - Astoria Outfall PCB Sweep (Update)" and is provided in Exhibit SSP-4-UpD.
- The Strategic Planning white paper for departmental operating expenses and industry research, provided on pages 178-179 of Exhibit SSP-4, has been updated to correct the O&M projection for 2025. This updated white paper is titled "Strategic Planning Operating Expenses & Industry Research (Update)" and is provided in Exhibit SSP-4-UpD.
- The Emergency Preparedness HAZMAT Energy Storage Response program white paper, provided on pages 135-138 of Exhibit

SSP-4, has been updated to address the discrepancy noted on the bottom of page 135. This updated white paper is titled "HAZMAT Energy Storage Response Program (Update)" and is provided in Exhibit SSP-4-UpD. This correction is also reflected in the Panel's updated O&M Summary Exhibit SSP-2-UpD.

Q. Is the Panel submitting any other corrections or adjustments?

A. Yes. The Panel is submitting one additional adjustment involving the proposed Clean Energy Collaboration Space project.

Q. Please explain.

A. The Company has separated the $15 million in capital funding for the proposed Clean Energy Collaboration Space project from the Facilities and Field Services Critical Repair and Upgrade projects and programs (specifically within the Facilities Critical Infrastructure program). Given the nature of the facility renovation work involved, this capital funding has been moved under the Facilities Service Center Renovation and Storeroom Optimization program. This recategorization is consistent with the Panel's direct testimony.

Q. Have any other changes been made to the proposed Clean Energy Collaboration Space project?

A. No.

Q. Does this conclude your update testimony?

A. Yes, it does.